

Becoming a Supplier Middleman

A South African operator's guide to sitting between producers and wholesalers

Prepared for Thabiso "TK" Khwezi Molekwa — August 2026

1. What the role actually is

The chain you want to insert yourself into looks like this:

Producer (makes the goods) → **YOU** → **Wholesaler** (buys bulk, resells to retailers) → **Retailer** → **Consumer**

There are two completely different ways to occupy that middle slot, and they are not variations of the same business. They are different businesses with different risk profiles. Choose deliberately.

	Agent / Broker	Trader / Distributor
Do you own the stock?	No	Yes, you buy it
Who invoices the buyer?	The producer	You
How you earn	Commission on sales	Margin (buy at R80, sell at R100)
Capital required	Close to zero	Stock, storage, delivery, insurance
What you lose when it goes wrong	Your time	Your money, in dead stock
Legal standing	Agent of the producer	Principal in your own right
Typical range	3% to 25% commission	3% to 30% gross margin

Terms you will hear, defined

- **Principal** — the party you represent, meaning the producer. Under agency law, deals you conclude on their mandate bind them, not you.
- **Taking title** — legally owning the goods. Traders take title. Agents never do. This single distinction determines whether a bad debt is your problem or the producer's.
- **Mandate** — your written authority to sell on the producer's behalf. **Sole mandate** means you are the only party allowed to sell their goods in a defined territory or channel. **Non-exclusive** means anyone can.
- **Disintermediation** — the buyer and the seller cutting you out once you have introduced them to each other. This is the defining risk of the entire model.

- **RFQ** — Request for Quotation. A low-value government or corporate purchase decided mostly on price and compliance, not on track record.
 - **ESD** — Enterprise and Supplier Development. Corporate programmes that exist because B-BBEE scorecards reward large firms for buying from small black-owned suppliers.
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2. The hard problem you must solve first

Here is the honest pushback, and you should sit with it before spending a rand.

Wholesalers already exist because they are the middleman. Their entire function is buying in bulk from producers and breaking it down for retailers. When you propose inserting yourself between a producer and a wholesaler, you are proposing to add a second middleman to a chain that already has one. Both sides will ask the same question: why do we not simply phone each other?

This is not theoretical. It is the standard failure pattern for independent trading companies in South Africa. The sequence is predictable: broker introduces producer to buyer, deal one closes, commission is paid, and by deal two the two parties have each other's numbers and the broker is no longer in the conversation. No contract, no recourse, business over in under eighteen months.

You survive that only by holding a position neither side can cheaply replicate. There are four, and you need at least two.

1. Access. You bring the producer buyers they cannot reach on their own. A Ceres jam producer supplying Spar in the Western Cape but with zero presence in Eastern Cape wholesalers has a real gap. You own that territory. The weakness: access decays. Once you have made the introductions, the access is spent.

2. Aggregation. You consolidate several small producers into one order, one delivery and one invoice. Wholesalers genuinely hate administering forty tiny suppliers, each with their own paperwork, delivery schedule and payment terms. This is the strongest position for a new entrant precisely because it is harder to *replicate* than it is to *find*. The buyer can go around you to one producer. Going around you to all eight and re-assembling the order themselves is work they do not want.

3. Compliance and administration. You carry the CSD registration, the B-BBEE affidavit, the tax clearance, the delivery notes and the proof-of-delivery tracking. A large number of small South African producers make a good product and are locked out of corporate and government buyers purely because they cannot produce the documents. You become their passport.

4. Terms and logistics. You pay the producer on delivery and give the wholesaler thirty days. That is a financing service, and it pays the best of the four. It also kills more small trading

companies than anything else, because you are funding someone else's working capital out of your own pocket. **Do not start here.**

Position 3 is your natural entry point. It is administration, systems and relationship work, which is exactly what you already do. It requires no capital. And it is genuinely scarce.

Protecting yourself contractually

Before you introduce a single producer to a single buyer, get a written agency agreement signed. South African law does not fix commission rates, and the disputes that actually go bad turn on *when commission is earned* versus *when it is payable*. Write it down.

The agreement must specify:

- Territory and channel (which provinces, which type of buyer)
- Commission percentage, and whether it is calculated on invoice value or on net of returns
- The trigger: is commission earned when the order is placed, when it is invoiced, or when the producer is paid?
- Notice period on both sides
- **A trailing commission clause** — you continue earning on accounts you introduced for twelve to twenty-four months after the mandate ends. This is the clause that makes disintermediation expensive rather than free.

Making the introduction before the agreement is signed is the single most common and most costly mistake in this business.

3. Legal and administrative setup

Exact steps, exact costs, exact websites. Total spend to be fully trading-legal is roughly **R175 to R400**.

Step 1 — Register a private company (Pty Ltd) Go to **bizportal.gov.za**, which is CIPC's own portal and cheaper than any third-party agent. Name reservation costs R50 and company registration costs R125. Turnaround is one to five working days. *Why a Pty and not a sole proprietorship:* wholesalers and government departments will not open a trading account for a sole proprietor, and the company structure separates your personal assets from stock and contract risk.

Step 2 — SARS income tax number and Tax Compliance Status An income tax number is issued automatically on CIPC registration. Confirm it on **sarsefiling.co.za**, then request a **Tax Compliance Status (TCS) PIN**. Buyers use that PIN to verify your standing live, so you cannot skip it.

Step 3 — Business bank account FNB First Business Zero and TymeBank Business are the lowest-fee options, effectively R0 monthly at startup scale. You need this before CSD, because CSD verifies your bank details against the registered company.

Step 4 — B-BBEE sworn affidavit Free. Any business with annual turnover of R10 million or less qualifies as an **Exempted Micro Enterprise (EME)**, and an EME needs only a sworn affidavit, not a verified certificate. Download the standard EME affidavit template, then sign it in front of a Commissioner of Oaths at any SAPS station. Once stamped, that affidavit *is* your B-BBEE certificate and must be accepted by government departments, public entities and private companies. *Why this matters commercially:* as a black-owned EME you are Level 1, which means corporate buyers earn 135% procurement recognition on every rand they spend with you. That is not a nice-to-have. It is your single largest competitive advantage against established competitors, and it is free.

Step 5 — Central Supplier Database (CSD) Register at csd.treasury.gov.za. Free. Mandatory for every organ of state since 1 April 2016 — without it you are automatically disqualified from any government tender or RFQ regardless of price. Verification takes 7 to 21 days and cross-checks you against CIPC, SARS and Home Affairs in real time. Your profile must read **Active** and **Verified**. Start this early, because the waiting period is the long pole.

Step 6 — VAT: do not register yet The thresholds changed on 1 April 2026, the first adjustment since 2009. Compulsory registration moved from R1 million to **R2.3 million** in any consecutive twelve-month period. Voluntary registration moved from R50,000 to **R120,000**. Registering early only adds monthly administration. Revisit when you approach R2.3 million, or earlier if a major buyer insists on a VAT invoice.

4. Opportunities, ranked for your situation

Ranked by capital required, time to first revenue, and fit with what you already do well.

Tier 1 — start here

Opportunity 1: Compliance broker for small producers into corporate ESD programmes

South African corporates are scorecard-incentivised to buy from black-owned small suppliers, and they run formal Enterprise and Supplier Development programmes to find them. The programmes are real, funded and actively recruiting. The bottleneck is that most small producers cannot complete the applications or sustain the documentation.

Your play: become the supplier of record, aggregate three to eight producers behind you, and carry the paperwork, quality documentation and delivery.

Specific doors, with what each one offers:

- **Shoprite** — shopriteholdings.co.za/suppliers/become-a-supplier.html . Explicitly seeking suppliers with smaller annual turnover, and provides packaging and labelling support, marketing and branding help, training and onboarding, plus free business courses. Approved applicants receive a supplier number for the B2B portal.
- **Pick n Pay Enterprise Supplier Development** — built specifically to bring local products onto shelves.
- **Sasol Siyakha ESD Fund** — technical and business support, mentoring, and loan funding. Sasol's SME challenge track offers grant funding up to R500,000. Requirements: at least 51% black-owned, registered in South Africa, tax compliant.
- **Anglo American Zimele** — financial and technical support to help SMEs become sustainable suppliers into mining.
- **SAB** — KickStart, Thrive, Accelerator and the SAB Foundation, plus emerging farmer programmes.

Note on timing: corporate ESD programmes typically run one or two intake cohorts per year, announced on each company's ESD portal. Confirm the current window directly with the funder before submitting, since published cohort dates go stale quickly.

Why this fits you: it is administration, systems and relationship work, needs no stock, and "we handle your compliance and your digital presence" is a Zanovo cross-sell in a single sentence.

Opportunity 2: Government RFQ supply under R1 million

Departments and municipalities continuously issue Requests for Quotation for small-value goods: stationery, cleaning chemicals, PPE, workwear, printing, catering supplies, IT consumables. These are awarded largely on price plus B-BBEE points rather than on track record, which is exactly what a new entrant needs.

Your play: quote, win, then buy from the producer against a confirmed order and deliver. You never hold speculative stock.

Requirements: Active and Verified CSD status, a valid TCS PIN, and your B-BBEE affidavit. All three are covered in Section 3.

Where to find them: **etenders.gov.za**, plus provincial and municipal notice boards. Western Cape provincial government and the City of Cape Town publish RFQs continuously.

Honest risk: government is legally required to pay in thirty days and frequently does not. Only take RFQs where your producer will invoice you on terms at least as good as what you are giving, or where the value is small enough that a ninety-day delay does not sink you. Never fund a government order out of personal cash.

Opportunity 3: Repeat-purchase, low-regulation categories into wholesalers

Best starting categories: cleaning chemicals, packaging (boxes, bags, film), workwear and PPE, printed goods, disposables.

The reasoning is deliberate on four counts. No licensing regime, so you can start this month. Non-perishable, so no cold chain and no spoilage risk. Repeat purchase, so one won account pays for years rather than once. And producers in these categories are typically small factories with weak or non-existent sales coverage, which is precisely the gap an agent fills.

Avoid at the start: anything requiring cold chain, anything needing SAHPRA or NRCS approval, alcohol (liquor licence), and fuel.

Tier 2 — real money, more friction

Opportunity 4: Fresh produce market agency

The Cape Town Market in Epping (110 Gunners Circle, Epping 1) is over fifty years old, services more than 5,500 producers, and sells through market agents to over 8,000 registered buyers. It is the primary source of produce for the city's informal traders and spaza shops. Market agents occupy exactly the position you are describing — they stand between producer and buyer and work on commission.

The catch is serious and you should not underestimate it. This is a **regulated profession**. Under the Agricultural Produce Agents Act No. 12 of 1992, a fresh produce agency and its individual salespeople may only market on a farmer's behalf while holding a **fidelity fund certificate** issued by the Agricultural Produce Agents Council (apacweb.org.za). Obtaining one requires vetting, a financial suitability assessment, a criminal record check, and completion of APAC's online training course for prospective fresh produce agents. The agency, all of its owners and directors, and every individual agent must be registered.

Read that regulation correctly, though. It is a barrier, and it is also a moat. Once through it you belong to a small licensed group performing a legally protected function that no unlicensed competitor may perform. It is the most defensible version of the middleman role available in South Africa.

Realistic route in: join an existing market agency at Epping as a registered salesperson for twelve to eighteen months, learn the floor and build producer relationships, then go independent. Do not attempt to start this cold.

Opportunity 5: Township and spaza channel

Context as at August 2026: government has approved **R179.6 million** of the R500 million Spaza Shop Support Fund. SEDFA has approved 1,316 applications worth R79.6 million, and the National Empowerment Fund has approved 1,053 enterprises worth R99.9 million, across all nine provinces. Approved support explicitly includes **stock purchases**, point-of-sale devices, infrastructure upgrades and inventory support.

The opportunity is newly capitalised spaza owners with money specifically earmarked for stock, sitting in a channel where most operators cannot navigate licensing requirements.

Honest read, and this matters: margins in this channel are brutal and it is dominated by entrenched, well-capitalised wholesalers with delivery fleets you cannot match. Furthermore,

the fund is currently under Portfolio Committee scrutiny over allegations that money was disbursed to foreign nationals, and disbursement has stalled — only R179.6 million of R500 million has moved, largely because applicants must hold a valid municipal spaza licence or trading permit and most do not. Treat this as a volume play you enter once you have working capital and a delivery capability. Do not build a plan that depends on the fund.

Tier 3 — later

Opportunity 6: Export agency. South African producers into SADC and the EU. Highest commission per transaction, longest sales cycle, and it requires an exporter's customs code from SARS plus working knowledge of Incoterms and letters of credit. Park this until Tier 1 is producing revenue.

5. What the money actually looks like

Verified ranges for South Africa:

- **Commission agents:** 3% to 25% per concluded transaction, depending on the scope of responsibility. A common starting point for product sales is 10% to 15%. Some arrangements combine a retainer with an incentive scale.
- **Distributor margins:** 3% to 30%, driven by channel cost, commercial risk, volume and each party's contribution.
- **Efficient FMCG distribution operations:** net margin around 6%.

Translated into your numbers. At 10% commission, R100,000 of monthly product sales pays you R10,000. To reach the R20,000 monthly personal income you have targeted, you would need roughly R200,000 of product moving every month. In a repeat-purchase category that is four to eight active accounts.

That is achievable. It is also a six to twelve month build, not a quick win, and you should plan your cash on that basis.

6. The 90-day plan

Days 1 to 14 — Build the legal spine

- Register the Pty Ltd on bizportal.gov.za (R175 all in)
- Open an FNB First Business Zero or TymeBank Business account
- Sign the EME B-BBEE affidavit at any SAPS station

- Start CSD registration immediately, because the 7 to 21 day verification is your longest lead time
- Choose **one** category. One. Cleaning chemicals or packaging.

Days 15 to 45 — Supply side before demand side

- Build a list of 30 producers in that category across the Western Cape. Sources: Brabys and Yellow Pages, Google Maps searches for "manufacturer" plus the category, the trade association for the category, and the "our suppliers" pages of wholesalers already in the space.
- Call rather than email on first contact. Ask one question: *"Which provinces or which channels are you not covering right now?"* That question locates your gap faster than any pitch.
- Target: three signed non-exclusive agency agreements, each with a trailing commission clause.

Days 46 to 90 — Demand side

- Forty wholesaler and buyer conversations. Lead with aggregation: one order, one invoice, several producers.
- Register on the Shoprite supplier portal and submit to one ESD programme
- Check etenders.gov.za daily for RFQs in your chosen category
- Target: first R50,000 of brokered sales

Kill criteria, decided now rather than in the moment. If you reach day 90 with zero signed producers, either the category is wrong or the pitch is wrong. Change one variable, not both, or you will never know which one it was.

7. How this connects to Zanovo

The conflict is real, and pretending otherwise would not serve you. Zanovo's stated next step is cold outreach to land the first five to ten clients. Both ventures need the same scarce input: your outreach hours during the 8am to 3pm execution window. Run as two separate businesses, they will slow each other down and you will land somewhere mediocre in both.

The synergy is also real, if you sequence it correctly.

Producers are small businesses with good products and weak online presence. That is Zanovo's ideal client profile, described exactly.

So run **one** outreach motion carrying two offers, not two outreach motions. You call a producer about distribution. During that conversation you discover their website is dead and they have

no lead capture after hours. You now have two products from one call. Critically, the distribution conversation is a far warmer opener than a cold web development pitch, because it opens with "I can help you sell more product" rather than "your website is not good." The first earns a meeting. The second earns a hang-up.

It works in reverse too. Every Zanovo client is a business with its own suppliers and buyers you can map.

Recommendation: do not treat this as a second business. Treat it as a second offer inside the same outreach motion, and cap it hard at one day per week until it produces its first R25,000. If after ninety days it is beating Zanovo on revenue per hour invested, that is real data and you re-weight then. Not before.

8. Sources

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